December 31st, 2025

At this point in the year it is safe to declare 2025 a major victory for equity investors. As of the time of this writing, the S&P 500 is up north of 17% on the year, with roughly all of that taking place in the last six months. For reference, Apple is up 33% during that period. I've said this numerous times in the past but it is not difficult to find winners. The difficulty lies in when and how much of them to buy. In the game of investing, slugging percentage matters more than batting average.

Reaching year end is always bittersweet, a time to reflect on the recent results and ponder the future decisions to be made in the coming year. I want to take time below to hash out a few mentions I wrote about in 2025 that were both bitter and sweet.

Bittersweet, joys and regrets of 2025

The clearest example of this comes from our call out surrounding the stock ***SNDK***. We discussed this name initially in early July at which point we were new owners around $42/share. My comments at that time were,

"I most likely will not add any more as I expect this extremely undervalued stock to see $60/share in the short term. This is a company with nearly $8B in revenues trading at a $7B market cap. I repeat, extremely undervalued."

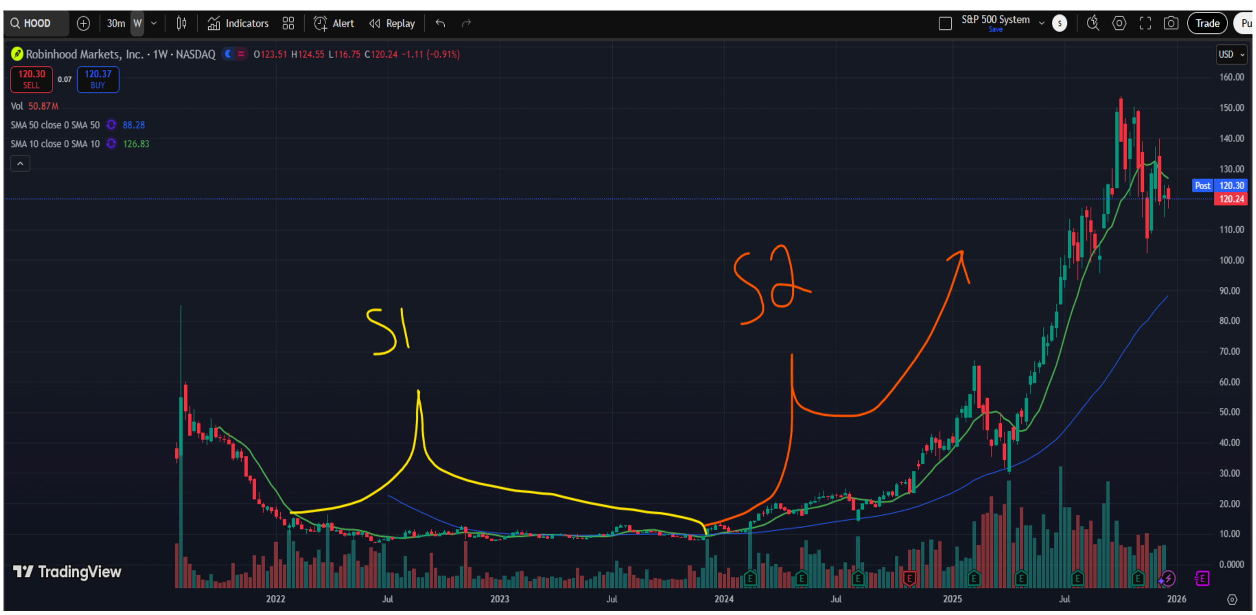
September 3rd, 2025
Luke C. Cagle

Now rereading that quote surely cements me as a moron. Why would I not buy more of an "extremely undervalued" stock? Sticking to my previous comments, when the stock exploded through $60/share, I sold for a shaggy 50% profit. The stock went on to return over 550% during 2025 and still maintains this level to date. At that time, I was in the right name, but not allocated to the right amount. This is a great example of when an investor experiences "errors of commission". If you are familiar with that psychology, you know these seem to weigh on the mind much more than errors of omission.

SNDK on December 29th

The most notorious example, one I'm sure almost every investor is kicking themselves for this year, is ***NVDA.*** During late March and early April as Trump was wasting no time getting acclimated to his second term, the king of the market in NVDA was sitting there on a shelf for anyone to buy. As humans do, I did not aggressively buy NVDA during this period and have since suffered the mental friction of having missed what I would call a *layup*. I call this a layup because this is not a name under a rock, this is the most known stock in the world. NVDA went on to return over 120% as it took the market by storm and became the clear new leader. In any of the acute downturns the modern market experiences, they always pump the leaders back first. We saw this clearly with NVDA driving the market higher for much of 2025. When we see another sharp pullback, the names that perform the best early will be your signs to follow. It is not a coincidence these tend to be of the highest quality. My comments on NVDA are unchanged, and how this name performs in 2026 will largely determine the overall market performance. You simply can't rotate out of a $5 trillion dollar market cap without the overall market going down. This used to be the case for AAPL, now NVDA wears that crown.

Another example that I think about daily involves the notable stock ***HOOD***. I've discussed this name for a few years now and began to take a position towards the beginning of 2025, noting the clear "Stage 2" forming from a technical basis. My initial position was around $40/share and I quickly sold part of it during the tariff saga for a small loss. The stock has since returned over 215% YTD. Now these are bittersweet reflections because we remain an avid supporter of HOOD stock and believe it continues to win long-term for us, but we acknowledge the mistake we made by straying from our longer term perspective. I took a moral approach to this stock when it IPO'd in 2021 and pegged it as a crook due to their abusive consumer tactics and illegal brokerage practices. I won't waste time here talking through them but I will say 2025 brought a refreshed perspective for me in that I recognized this name to be a giant in the making. There is a socioeconomic shift led by underlying demographic changes that is driving the financial performance we've seen around this name that can no longer be ignored. I think this name remains a winner for a long time and in investing you sometimes have to cast aside morals for profits.



HOOD on December 29th

The final example I'll make mention of is one I was probably the loudest about beginning around October 2024. During that time the election was all but over as the majority of people knew Trump was gaining a second term. I took the stance of ***TSLA*** being, "the safest large cap stock over the next 4 years." I marked it as a "can't lose trade" moving forward with the idea being based around Elon's involvement within the campaign and the AI trade beginning to pick up speed. For reference, the stock was trading below $250/share at that time. Now this mention was not as straightforward as I expected. The stock blew through $475 within a month only to give it all back by early March. Being the megaphone that I was at that time, I should've been the first soldier off the boat. I hesitated and did not get as aggressive as I now would've liked. TSLA has gone on to return over 110% from that low point and remains a market leader. This is another example of a leader hiding in plain sight. It does not take hours of research or complex screeners to locate big winners. Sometimes those winners are already trillion dollar companies. I have not changed my opinion that TSLA remains a top stock to own moving forward. I'm one who believes physical AI will continue to benefit and TSLA is positioned perfectly for this reward.

TSLA on December 30th. The yellow line is indicative of a five year channel being broken. It can become dramatic when a big name like this breaks out of such a range.

Surprises from 2025

We've harped on it throughout the year but the "Tariff Tantrum" that occurred around Liberation Day was the most notable of the surprises for 2025. My experience during that period forced me to acknowledge the current market was as news sensitive as any other I've participated in, if not ever. I wrote about several instances where a simple tweet from the President evaporated hundreds of billions of market cap in seconds, only to return by day's end. The market of 2025 differed drastically from that of 2022-2023 when there was such an immense macro umbrella overshadowing most companies, primarily in the form of rates and inflation discussions. Inevitably we will experience surprises in 2026, but I like to pay special attention to the movements that occur during the first few weeks of the new year. In my experience, the best way to select individual stocks for a new market is to simply sit back and observe. You'll be able to watch in real time what names smart money is rotating into and what specific names they've donned as "winners". Is the above an exact science? Of course not, so use it sparingly and as a tool to create a targeted watchlist and proceed from there.

Looking into 2026

The general stance from our last writeup on November 26th was one of the bench-warmers. To me, there hasn't been a whole lot that I was interested in outside of a few names and that still remains true. In other words, I'm waiting till I see clearly again. This is most clearly represented by my current ~64% cash allocation. Most sectors performed very well in 2025, plainly speaking, there isn't a whole lot that is "undervalued". In staying consistent with my previous comments, I'm not one who thinks the current market has a lot of immediate upside and lean more to the notion we are more likely to see a correction within the 1H of 2026 rather than the alternative. With that being said, there will still be plenty of winners for us to participate in and be excited about. Below I'll touch on 1.) recent callouts made in the November memos 2.) themes I'm most excited about and 3.) select tickers I've got marked as winners in 2026.

Callouts from November memos

- You guessed it, ***RDDT*** remains my number #1 focus for 2026. Currently trading around a ~$35B market cap, I have this one pegged as a great asymmetrical bet for investors regardless of the market outcome. They have a lot going on, a wonderful leader, huge AI potential, and a fastly climbing institutional ownership amount. We've mentioned this name all year and more recently so with our buys in the $180-190/share range. With its inevitable SP500 inclusion coming, this one will continue to win.
    - I've taken no action around this name since buying more (<$190/share) in November. Currently trading around $230/share, I see no urgent reason to add. I'm no less excited about this name than I have been for the previous twelve months, however, I'm conscious of where I think the overall market might be headed. RDDT's performance has been nothing short of stellar and they've yet to falter, but my eye is peeled on the RPU (revenue per user) figures moving forward. In summary, I still believe RDDT can provide outperformance in 2026 and I'll take any significant retracement as an opportunity to add to this market leader should fundamentals remain intact.

- A name I've been fond of for years and have as a long term account holding, ***ZS*** is a name you need to be familiar with. Down over 11% after reporting earnings on the 25th, I suggest you learn about this name and the company. This is a cyber security name and one of a few that I personally invest in. I could see this name trending towards $200/share, but being that it is a market leader, I hesitate on that outcome. Nibble on the way down for me.
    - ZS has slowly trended down to the $200 level we referenced and I've yet to add to this position. I'm watching daily and would most prefer an entry <$200/share. This is not a trade item for me. This name remains a long term holding for me.

- During the recent pullback I couldn't help but add ***META*** <$600/share. Not much to mention here other than I expect their next earnings to leave the market with a different feel on their AI approach and Zuck will not disappoint there.
    - Timing helped on this one and reports from early December showed META realizing significant revenue from their AI ad driven platform, further proving their investments are translating into profits. The stock touched $680 shortly after. No other actions have been taken from our buys <$600/share.

- We discuss this name every entry but ***TEM*** was one we wanted to add around $60/share. In the last week or so it got to $62/share and we added more. This is a volatile name due to its age but will become a long term winner. I'm trading and storing some for the long haul.

  - Young name, in a hot sector, AI tailwinds, long term hold. No actions taken recently.

- A new face I'll mention is ***RBRK***, a cybersecurity and data management company I've been watching the last month. I initiated a position at $71/share. Although it's below its long term moving averages, I don't care as I have time here and I believe this is a superior company within the cybersecurity space. The ownership structure is what I love for a long-term hold as well, with insiders accounting for almost 20% of total ownership. I would not be surprised to see this name turn into a rocket.
  - RBRK reported earnings 12/4 and the figures could not have been more impressive. The stock gapped up over 30% to $92/share. Since then, the price has returned to pre-earnings levels. I've added more to this position. I'll touch on it more in the latter section.

- Give me more opportunities to buy ***CRK*** below $18/share and I just might become a Cowboys fan. We made note of our entry on the 9/25 memo with an average price of $15.50/share. We've remarked on this name several times and it continues to give us the opportunity to make profits. Not to mention, this name is an umbrella for investors, finishing the week up over ~23% while the S&P is down ~2.5%. Should we see the $18s again I'll most likely add more.
  - CRK was able to briefly get back below <$21/share in December before going on another run. I still think this name is an outperformer and I have taken pullbacks to MAs as opportunities. A small addition for me below $21/share but nothing major.

Trends for 2026

There are several names I'll touch on below that I'm excited about for 2026. Whether the market underperforms relative to 2025 is not of my concern. In any scenario, there will be clear winners and losers being decided.

There is common talk in technology that traditionally during cycles of innovation you see select outperformance from the "picks and shovels" first. In this current cycle, think NVDA. They are one-of-one in this and no other company has ever come close to what they've accomplished. I use the word "select" in the initial sentence because during these cycles there are clear winners and losers being decided by the market. The outperformance is selective to those winners. After the "picks and shovels", the second set that realizes outperformance is the hardware and infrastructure names. Followed lastly by the run in software names. I wanted to take time to discuss the second mention, *the selective outperformance of hardware and infrastructure*.

These are names you have seen flash across the screen of the TV or on your brokerage app since most of them have already been bid up considerably. To provide some examples, think of names like ***NBIS, CRDO, CIFR, IREN, ALAB***, etc. Respective LTM returns of 179%, 180%, 297%, 150%, and 30% illustrate this point. *The question I ponder here is who inevitably wins this cycle*? I believe 2026 will provide clarity around hardware and infrastructure names. From my view, I'm watching ***ALAB*** the closest and just might enter a starter position in this name very soon. I'd like to do this closer to $125/share but I'm not afraid of entering here around $170/share. With an average beta of 2.22 between these names, they are over twice as volatile as the market. I'll take advantage of that on the downside and look to get positioned in ALAB along with a few others mentioned above should the opportunity prevail. I've traded most of these names and do not fear playing them again. I would urge you to learn about these companies and keep an eye on their movements.

Another theme that I continue to be excited about is the energy and battery space, with leaks into the robotic/drone side of batteries. There are fascinating amounts of progress being made throughout the energy sector, much of which is a direct threat to traditional power struggles. We talked about ***EOSE*** beginning in May and could not have been more pleased with the stock's performance, achieving a ~246% YTD return. My situation is different from most in that my average cost is still $9/share, with my initial purchase being at $3.88/share. I only mention that to provide greater clarity around how I intend to handle this stock moving forward.

5Y visual of EOSE as of December 31st.

Looking at the above visual, we can tell the stock is in a clear "stage 2" technical base. We noted this initially in May and have discussed that ever since. During this particular stage of the cycle, wild swings are to be expected, but ultimately we are seeing an increase in institutional volume, rising moving averages, and higher lows being established alongside those MAs. In other words, stage 2 is the point at which a stock becomes a riser and reaches its IPO valuation and/or exceeds these levels as the growth story plays out. You can think of it as the "early innings" period. Some stocks can have really long stage 2s, or have multiple stage 2s through their life, or even have none.

I'll change pace here for a second to discuss the fundamentals of EOSE and what I can currently see as headwinds. As good as a stock chart may appear, fundamentals are evidence of a thesis. In the early innings of a growth story the fundamentals are no prom queen. I'll provide a few examples below on EOSE:

- Increasing share count aka dilution. This is fine in the sense of growth but share count has increased 20% in 2025 after multiple equity offerings. This is something to watch out for in any stock.
- A very high P/S ratio, currently above 60x. Explainable by the experiment period where technology is being proven before securing customers. To add here, the company is still unprofitable.

- Quick analysis shows liabilities vastly exceeding assets to the tune of 4x. This is important for future capital access, which is critical to a growth story.

Now if I haven't lost you by now in this entry then you truly have an appetite to learn and better yourself in regards to both technical and fundamental investing. I've always been a practitioner of both sides and find immense value in both when paired synergistically. Reverting back to the mention of my average cost in EOSE, I can approach the short term much differently than an outsider. I took action to sell off some shares throughout December to secure over a 100% gain and make this a risk free holding of mine. I'm now in the boat of someone who wants to see this name get back as close to $5/share as possible but not lose the stage 2 momentum entirely. A retracement to $7-8/share seems more plausible. Ultimately, I have this pegged as a target for some bigger company to acquire. For now, we will take no action and watch as the stock continues to trend back towards $8/share.

Predicted winners for 2026

I'm not one who likes to guess the overall market performance prior to a new year but I did make the earlier comment that I don't see 2026 being another high double digit gain for indexes. Not to mention mid-term years have not been the best performers historically. With that being said, I'll call out a few tickers I'm currently positioned in and have marked as winners for 2026.

- I touched on it initially a few months ago but Rubrik, ticker ***RBRK***, has captured more of my attention than I expected. This is a tremendous turnaround story at play with profitability being achieved recently. I'm in this name with an average price of $71 per share. I believe this name is not only a winner in 2026 but a long term winner. I intend to have roughly 10-15% allocated to this name soon.
- I didn't include this in the theme section of this entry but *payment processing* is very intriguing to me. Much more so the recent underperformance in most names across this space. One in particular, ***FOUR***, is at a level and inflection point that I'm comfortable beginning to accumulate shares at. I'm in a starter position at $62 per share and intend on adding to this name in the short term.
- The next name I'll mention here is a high quality company and had outperformed up until around August of this year. ***AXON*** is a name I recently added around $530 per share and intend on holding throughout 2026 and longer. I referenced it above but I do think drones will be a major play and theme across the market soon enough. AXON is far more than that but their involvement in that space excites me. Any market leader that can keep its chips in a hot theme will continue to win. When this company trended lower for most of Q3 and Q4, it was an easy position to initiate. When it comes to investing, my parachute is consistent with quality and the long term horizon. Yes, the market can bring this one lower but it does not concern me. If you've not heard of this company yet, take time to learn about them and you'll be shocked you had no previous awareness of them.
- Of course I have to end this piece with another mention of ***RDDT***. As I discussed earlier, I'm spectating for now and have no intentions of adding more in the short term. I will not be dismayed should this name go lower during the 1H of 2026. I continue to see it perform as a market leader with real strength from a technical perspective. I continue to view $180 as an opportunity to add to this position. I alluded to the fact they've not "faltered" yet, and eventually their results will cause a hiccup on some metric. I'll use that period to confirm my thesis and potentially add to my position.

Notable mentions that I'm very much interested in buying or adding to are INOD, MU, ALAB, SE, NVDA, IMCR, and AXP.

In conclusion…

Hats off to you my friend if you've made it to this page. Being that 2025 was such a spectacular year for equities, I could've added another dozen pages to this entry. It is a real challenge to condense my thoughts into a select few ideas that can potentially generate outperformance for myself and friends. You being the audience serve as my sharpest tool and I thank you for it. My intentions with these efforts have always been based on the merits around educational and financial growth. I do spend a fair amount of my free time in private reading and I am shooting to have a list of my 2025 best reads included in the next memo, or shared as a separate memo altogether. As always, feel free to share these entries with whomever you may feel would enjoy them.

Happy New Year,

Luke Cagle
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